UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2014/2015

DECEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

WEDNESDAY, 10 DECEMBER 2014 TIME: 9:00 AM – 12:00NOON (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions are to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings. For question(s) that require the use of financial calculator, marks will be awarded for steps showing input keyed in.

UKFF4024 MULTINATIONAL FINANCE

Section A: **[Total: 40 marks]**

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Q1. (a) A foreign exchange dealer in Warsaw provides quotes of spot and 3-month forward rates for the Polish zloty against the dollar.

	Bid (PZ/$)	Ask (PZ/$)
Spot	4.0040	4.0200
3-month forward	3.9690	3.9888

(i) How much would you receive in dollars if you sold PZ 5 million in the market? (3 marks)

(ii) How much would it cost in dollars to purchase PZ 20 million three months forward. When would you make payment? (4 marks)

(b) Katya Berezovsky works in the currency-trading unit of Sumara Workers Bank in Togliatti, Russia. Her latest speculative position is to profit from her expectation that the U.S. dollar will rise significantly against the Japanese yen. The current spot rate is ¥120.00/$. She must choose between the following 90-day options on Japanese yen:

Option	Strike Price	Premium
Put on yen	¥125/$	$0.00003/¥
Call on yen	¥125/$	$0.00046/¥

(i) Should Katya buy a put on yen or a call on yen? (3 marks)

(ii) Using your answer to part (i), what is Katya's break-even spot rate? (5 marks)

(iii) Using your answer to part (i), what is Katya's gross profit and net profit (including the premium) if the spot rate at the end of the 90 days is ¥140/$? (5 marks)

(c) Who are the principal users of the forward market? What are their motives? (8 marks)

(d) (i) Why might an exporter uses standard international trade documentation (letter of credit, draft, order bill of lading) on an intra-firm export between its parent or sister subsidiary? (6 marks)

(ii) Explain the difference between a letter of credit (L/C) and a draft. How are they linked? (6 marks)

[Total: 40 marks]

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Section B: **[Total: 60 marks]**

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions are to be answered.

Q1. (a) Assume the following information:
Spot rate of £ = $1.61
270-day forward rate of £ = $1.57
270-day British interest rate = 6%
270-day U.S interest rate = 4%

Based on this information, is covered interest arbitrage by U.S. investors feasible (assuming that U.S. investors use their own funds)? Explain.
(10 marks)

(b) You go to a bank and are given these quotes:

You can buy a euro with 14 Mexican pesos.
The bank will pay you 13 pesos for a euro.
You can buy a U.S. dollar with 0.9 euros.
The bank will pay you 0.8 euros for a U.S. dollar.
You can buy a U.S. dollar with 10 pesos.
The bank will pay you 9 pesos for a U.S. dollar.

You have $1,000. Can you use triangular arbitrage to generate a profit? If so, explain the order of the transactions that you would execute and compute the profit that you would earn. If you cannot earn a profit from the triangular arbitrage, explain why. (10 marks)

(c) (i) It is sometimes suggested that a floating exchange rate will adjust to reduce or eliminate any current account deficit. Explain why this adjustment would occur. (4 marks)

(ii) Why does the exchange rate not always adjust to correct the current account deficit? (6 marks)
[Total: 30 marks]

Section B (Continued)

Q2. (a) Define fixed exchange rate system. What are the advantages and disadvantages of fixed exchange rate system? (10 marks)

(b) The Fisher Effect is a familiar economic theory in the domestic market. In words, define the Fisher Effect and explain why you think it is also appropriately applied to international markets. (8 marks)

(c) Distinguish between shareholder wealth maximization model and corporate wealth maximization model. (12 marks)

[Total: 30 marks]

Q3. (a) Discuss the differences between performing the capital budgeting analysis from the parent firm's perspective as opposed to the project perspective. (6 marks)

(b) Blustream Inc. considers a project in which it will sell the use of its technology to firms in Mexico. It already has received orders from Mexican firms that will generate MXP3,000,000 in revenue at the end of the next year. However, it might also receive a contract to provide this technology to the Mexican government. In this case, it will generate a total of MXP5,000,000 at the end of the next year. It will not know whether it will receive the government order until the end of the year.
Today's spot rate of the peso is $.14. The one-year forward rate is $.12. Blustream expects that the spot rate of the peso will be $.13 one year from now. The only initial outlay will be $300,000 to cover development expenses (regardless of whether the Mexican government purchases the technology). It will pursue the project only if it can satisfy its required rate of return of 18 percent. Ignore possible tax effects. It decides to hedge the maximum amount of revenue that it will receive from the project.

(i) Determine the NPV if Blustream obtains the government contract. (4 marks)

(ii) If Blustream does not obtain the contract, it will have hedged more than it needed to and will offset the excess forward sales by purchasing pesos in the spot market at the time the forward sale is executed. Determine the NPV of the project assuming that Blustream does not receive the government contract. (10 marks)

(c) How can a business firm that borrowed on a floating rate basis use a forward rate agreement to reduce interest rate risk? (10 marks)

[Total: 30 marks]